

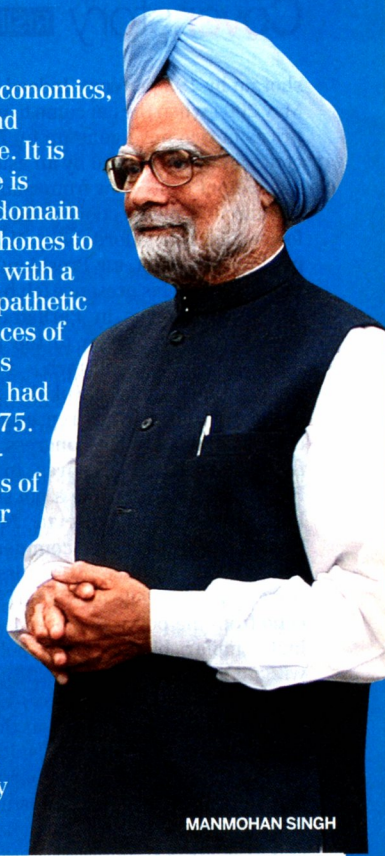
By Shankkar Aiyar

The world over and in textbooks of basic economics, price is defined as a function of supply and demand. In India, there is a third variable. It is called politics. Look around and evidence is strewn all over. Everything that is in the domain of private India is getting cheaper—from mobile phones to cars to anything that is manufactured. Everything with a government interface is costlier by the day. This apathetic state of affairs is best symbolised by the raging prices of essential commodities. Last week the political class found time to discover that the food price inflation had touched an 11-year high in December 2009 at 19.75. Ravi Shankar Prasad of the BJP declared that Agriculture Minister "Sharad Pawar had made a mess of the food economy". Uttar Pradesh Chief Minister Mayawati had no time for such nuances. She charged at the Congress and Pawar simultaneously. "The Congress says *aam admi ke saath* when they were with the capitalists. I demand that Manmohan Singh remove him (Pawar) from the Cabinet immediately."

Truth is prices of essential commodities have been on an upward spiral since 2004. In the last decade, rice prices have risen by 130 per cent while sugar prices have

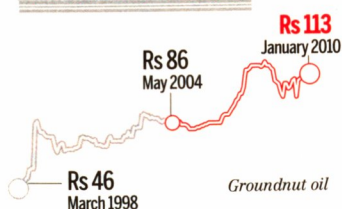


SHARAD PAWAR



MANMOHAN SINGH

EDIBLE OIL

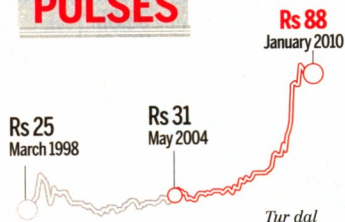


THE POLITICS With its large area of arable land, India could easily have been self-sufficient in oil seeds. But thanks to poor seeds, political pricing policy and a booming nexus between politicians and traders, it imports a third of its edible oil.

THE ECONOMICS India's edible oil shortfall went up from 11 lakh tonnes in 1996 to 43 lakh tonnes in 2008 even as consumption increased from 76 lakh tonnes to over 120 lakh tonnes.

SOLUTION Produce and process oil overseas to be imported into India as import-free food. Create incentive structure for research and cultivation of high-yield seeds.

PULSES

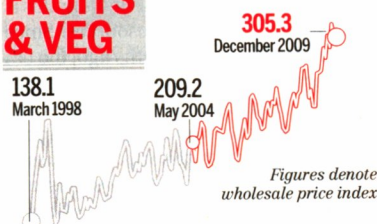


THE POLITICS India needs 18 million tonnes every year but has been producing less than 14 million tonnes for the past 30 years. It is not a political constituency, so no government has tried to boost its output. Shamefully, its yield is the same as it was in 1951.

THE ECONOMICS India is the largest producer, largest consumer and largest importer of pulses. So prices shoot up when India enters world markets. All other countries produce less than five million tonnes.

SOLUTION Invite biotech corporations to collaborate and create seed and farm factories in low-cost land abundant economies like Sudan or Ethiopia.

FRUITS & VEG



THE POLITICS With an output of over 175 million tonnes, India is the second largest producer of fruits and vegetables. But nearly Rs 70,000 crore of post-harvest produce is wasted due to political opposition to retail reforms.

THE ECONOMICS Thanks to the absence of a retail farm-to-fork supply chain system, price includes a premium for shortage and a charge for wastage as only 2.2 per cent of the total produce is processed.

SOLUTION Open up farm-to-fork retail supply chain to Indian and foreign investment. An all-weather preservation will lead to availability and enable price management. Both farmers and consumers will get better prices.